

CHAPTER 4

Houses of Multiple Occupancy (HMOs)

The first thing you should look for when deciding what kind of property to buy is one with a high rent. How do you get such a high rent? The easiest way is to rent a property out on a room-by-room basis. This type of property is known as a multi-let or a House of Multiple Occupation (HMO)

Most investors who buy HMOs go about it in a completely wrong way. I was one of them and in this chapter I'll share my experience and in doing so, I reckon that I'll save many of you at least £30,000 per deal

Make sure you're within the law

In today's market – 2017 – if a property is over three floors or more, with five or more tenants, you will need to license this as an official HMO. If it is a smaller HMO, with four or fewer people, or if it is just over two floors, typically this will be referred to as a multi-let. You should not need planning permission for an HMO unless there are seven or more separate tenants. The rules do change from time to time, so it's important to do your own research before buying any property

Councils will potentially insist that all rental properties have a license and this scares many landlords. However, this is actually not a bad thing because it will stop rogue landlords who have unsafe and inhumane multi-lets and filters them out, leaving us professionals to do it properly

Article 4 zones are areas where the council has decided you can only buy existing HMOs but no longer set up new ones, so this is another thing to check before buying any HMO. You will also need to inform your mortgage